5-3c Economic Arguments against Free Trade

Two prominent economic arguments against free trade are:

(1) the need to protect domestic industries and

(2) the necessity to shield infant industries.

The oldest economic argument against free trade is the urge to protect domestic industries, firms, and jobs from “unfair” foreign competition—in short, protectionism. The following excerpt is from an 1845 petition of the French candle makers to the French government:

We are subject to the intolerable competition of a foreign rival, who enjoys such superior capabilities for the production of light, that he is flooding the domestic market at an incredibly low price. From the moment he appears, our sales cease, all consumers turn to him, and a branch of French industry whose ramifications are innumerable is at once reduced to complete stagnation. This rival is nothing other than the sun. We ask you to be so kind as to pass a law requiring the closing of all windows, skylights, shutters, curtains, and blinds—in short, all openings and holes through which sunlight penetrates.

Although this was a hypothetical satire written by a French free trade advocate Fredric Bastiat 170 years ago, these points are often heard today. Such calls for protection are not limited to commodity producers like candle makers. Highly talented individuals, such as American mathematicians and Japanese sumo wrestlers, have also called for protection. Foreign math PhDs grab 40% of US math jobs, and recent US math PhDs face a jobless rate of 11%. Thus, many American math PhDs have called for protection of their jobs. Similarly, Japanese sumo wrestlers insist that foreign sumo wrestlers should not be allowed to throw their weight around in Japan.

Another argument is the **infant industry argument** (The argument that if domestic firms are as young as “infants,” in the absence of government intervention, they stand no chances of surviving and will be crushed by mature foreign rivals.)
. If domestic firms are as young as “infants,” in the absence of government intervention they stand no chance of surviving and will be crushed by mature foreign rivals. Thus, it is imperative that governments level the “playing field” by assisting infant industries. While this argument is sometimes legitimate, governments and firms have a tendency to abuse it. Some protected infant industries may never grow up—why bother? When Airbus was a true “infant” in the 1960s, it no doubt deserved some subsidies. However, by the 2000s, Airbus had become a giant that could take on Boeing. In some years, Airbus *outsells* Boeing. Nevertheless, Airbus continues to ask for subsidies, which European governments continue to provide.